

Activity 9: Negotiate a Multi-Party Growth Investment

Course TGS-2023020567 · K4 · K5 · K6 · A4

Objective

Use coalition mapping, package trades and precedent analysis in a multi-party term-sheet negotiation.

Real-world use-case basis

Real-world use case: investment negotiations involve valuation, governance, control, liquidity, incentives and long-term relationships among several parties. This is not investment or legal advice.

Scenario

A profitable software firm seeks SGD 8 million for regional expansion. A lead investor offers attractive capital but requests board control and a strong liquidation preference. Existing shareholders fear dilution; the management team wants an option pool; the founder values strategic access and operational autonomy.

Primary source

<https://builtin.com/articles/negotiation-skills>

Training assumptions

- The lead investor proposes a SGD 32 million pre-money valuation.
- An alternative investor may offer a higher valuation but cannot decide for eight weeks.
- The board currently has three seats: two founder nominees and one independent.
- All legal and tax terms are simplified and require qualified professional advice.

Questions

1. Which parties can form supportive or blocking coalitions?
2. Which terms are economically linked even if negotiated separately?
3. What precedent comparisons are misleading without context?
4. Which package best balances capital, control, incentives and relationship value?

Expected output

A board briefing recommending one of three complete investment packages.

Acceptance test

The board brief covers every material stakeholder, compares three packages and explains why each cited precedent is or is not comparable.